

BEFORE THE  
FEDERAL MARITIME COMMISSION

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DOCKET NO. 24-21

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PKDC, LLC  
Complainant,

v.

CMA CGM S.A  
Respondent

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**COMPLAINANT'S MOTION TO COMPEL DISCOVERY FROM RESPONDENT**

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Complainant, PKDC, LLC (PKDC), by and through its undersigned counsel, respectfully submits this motion to compel 1) answers to interrogatories and 2) the production of documents in response to discovery requests propounded by Complainant upon Respondent CMA CGM S.A. (CMA). As discussed below and supported by the attached certification (**Exhibit A**), Complainant attempted numerous times to resolve the instant issues in good faith as required by 46 C.F.R. § 502.150. Further, as required, copies of the requests and responses subject to this motion are attached along with the certificates of service and a copy of a final meet and confer letter outlining the parties' discussions and final positions.

Complainant's complaint in this action alleges several causes of action including but not limited to engaging in unjust and unreasonable practices related to receiving, handling, storing and delivering property pursuant to a service contract, providing service not in accordance with the rules and practices of a service contract and unreasonably refusing to deal or negotiate with complainant with respect to shipping under a service contract all in order to profit from the rise in higher shipping rates than agreed to between the parties.

As such, Complainant sought discovery of information and documents relevant to these allegations including trends in contract and non-contract shipping prices before and during the relevant service contract to probe price trends; policies and practices related to space allocations and any changes in those policies practices or enforcement of those policies and practices as shipping prices rose; specific breakdowns of cargo allocations on the trade lanes during the time covered by the service contract at issue; and specific documents concerning the course of conduct between Complainant and Respondent during the course of the service contract.

Despite the broad nature of discovery under the Commission's rules and the nature of proving statutory violations concerning unreasonable carrier practices, Respondent believes that

Complainant is limited to discovery of information spanning the pendency of the service contract. However, such limitations would severely prejudice Complainant's ability to develop an understanding of Respondent's conduct and prove how that conduct violated the Shipping Act. After several letters and conversations, the parties have reached an impasse on a limited number of discovery requests necessitating the instant motion.

### **BACKGROUND**

PKDC brought the instant action against CMA to challenge various conduct that is alleged to be violative of several provisions of the Shipping Act (Shipping Act). These actions included CMA's systematic refusal to provide the space accommodations agreed upon between Complainant and Respondent in a service contract, coercing additional fees and costs to provide carriage under the service contract, and providing space obligated to Complainant under the service contract to other shippers willing to pay in excess of the rates agreed upon by Respondent and Complainant, all in an effort to take advantage of extraordinarily high rates occurring during the contract year.

Consistent with these allegations, on February 17<sup>th</sup>, 2025, Complainant served both Interrogatories and Document Requests seeking discovery relevant to the claims made in the complaint. Discovery Requests collectively attached as **Exhibit B**. The requests sought discovery of information and documents related to CMA's allocation policies, practices and decisions, shipping rate trends as well as information concerning denials of PKDC's requests for space under the service contract.

On March 14, CMA provided responses and objections to Complainant's requests. Collectively annexed as **Exhibit C**. The parties thereafter worked together to try and resolve their differences. To that end, in addition to discussions, Meet and Confer Letters reflecting the

negotiations and final positions are collectively attached as **Exhibit D, E, F, G and H**. While many disputes were resolved, as discussed below, several disputes remain despite Complainant's good faith efforts.

### **STANDARD**

Per 46 C.F.R. § 502.141(e)(1), discovery is broad, and parties are entitled to seek discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter.” When a party objects to a request as to burden, they must demonstrate that the information is not reasonably accessible. *See* 46 C.F.R. § 502.141(e)(2)(i). Further, even if such a showing is made, the presiding officer may still order a response if the requesting party shows good cause. *Id.*

### **REQUESTS**

In accordance with Paragraph 12 of the Initial Order in this matter (Docket No. 5), outlined below are the text of each of the Complainant’s Discovery Requests at issue, Respondent’s response, the parties’ attempts to secure a sufficient response, and why the responses are insufficient.

#### **A. INTERROGATORIES**

##### **Interrogatory No. 20 Original Request and Response**

**Complainant’s Interrogatory No. 20. State the average ocean freight rates charged by you to carry cargo under service contracts and the average ocean freight rates charged by You to carry cargo moving at spot market rates for service contract years 2019 to present.**

*Respondent’s Response: CMA CGM objects to this interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.*

*CMA CGM further objects to the extent the interrogatory covers a time period that extends beyond that of the SC. CMA CGM further objects on the grounds that this interrogatory seeks information beyond the geographic scope of the SC. CMA CGM further objects on the grounds that the interrogatory is overly broad and unduly burdensome.*

#### **Interrogatory No. 20 Discussions and Final Positions:**

After a meet and confer letter and discussions, Complainant tried to address Respondent's objections as follows:

**CMA requests that we restrict this request to relevant service contract lanes and contract year. We are amenable to limiting this request to the contract lanes but are not amenable to restricting to the contract year. As previously discussed, we would agree to limit to the 2019-2020 contract year through the 2022-2023 contract year.**

CMA thereafter responded:

*PKDC's proposed resolution is not acceptable. In addition to the burden of attempting to calculate manually the figures sought by this interrogatory, there are serious methodology problems associated with this request which, if answered as asked, would produce numbers that are meaningless and misleading.*

PKDC thereafter tried a final time to procure a proper response by further limiting the request as follows

**CMA's time limitation is unacceptable. However, in a final good faith effort to resolve, we would be amenable to further limiting this request to the 2019-2020 contract year through the 2021-2022 contract year.**

Complainant requests the Commission compel a response to Interrogatory 20 limited to the trade lanes covered by the relevant service contract and limited to contract years 2019-2020 through 2021-2022.

## **Interrogatory No. 21 Original Request and Response**

**Complainant's Interrogatory No. 21. Identify Your average spot market rates for ocean freight for routes covered by the SC for service contract years 2019 to present.**

*Respondent's Response: CMA CGM objects to this interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence in that rates vary by commodity and routing and an average freight rate has no probative value. CMA CGM further objects to the extent the interrogatory covers a time period that extends beyond that of the SC. CMA CGM further objects on the grounds that this interrogatory seeks information beyond the geographic scope of the SC. CMA CGM further objects on the grounds that the interrogatory is overly broad and unduly burdensome.*

## **Interrogatory No. 21 Discussion and Final Positions:**

After a meet and confer letter and discussions, Complainant tried to address Respondent's objections as follows:

**CMA requests that we restrict this request to relevant service contract lanes and contract year. We are amenable to limiting this request to the contract lanes but are not amenable to restricting to the contract year. As previously discussed, we would agree to limit to the 2019-2020 contract year through the 2022-2023 contract year.**

CMA thereafter responded:

*PKDC's proposed resolution is not acceptable. In addition to the burden of attempting to calculate manually the figures sought by this interrogatory, there are serious methodology problems associated with this request which, if answered as asked, would produce numbers that are meaningless and misleading.*

PKDC thereafter tried a final time to procure a proper response by further limiting the request as follows

**CMA's time limitation is unacceptable. However, in a final good faith effort to resolve, we would be amenable to further limiting this request to the 2019-2020 contract year through the 2021-2022 contract year.**

Complainant requests the Commission compel a response to Interrogatory 20 limited to the trade lanes covered by the relevant service contract and limited to contract years 2019-2020 through 2021-2022.

#### **Interrogatory No. 26 Original Request and Response**

**Complainant's Interrogatory No. 26. For all denied requests identified above, identify the breakdown of contract cargo non-contract cargo, and cargo moving at spot market rates, on the vessel and the average ocean freight rate charged for each category.**

*Respondent's Response: CMA CGM objects to this interrogatory on the grounds that it is vague and ambiguous due to the lack of any definition of what constitutes non- contract cargo and the lack of clarity with respect to the difference, if any, between spot market rates and rates applicable to non-contract cargo. CMA CGM further objects to this interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence in that rates vary by commodity and routing and an average ocean freight rate will have no probative value. CMA CGM further objects on the grounds that this request is unduly burdensome.*

#### **Interrogatory No. 26 Discussion and Final Positions:**

After a meet and confer letter explaining the request seeks disclosure of rates for cargo moving under a service contract and cargo not moving under service contract, whether that is moving under spot market (such as CMA's SpotOn process) or other short-term rate and having a discussion on same, CMA responded:

*There appears to have been a miscommunication with respect to this interrogatory. As explained, CMA CGM is unable to respond to this interrogatory unless PKDC first provides it with a list of the attempted bookings that it contends were wrongfully rejected by CMA CGM. In addition, a response would require manual investigation and identification of the rates applicable to each shipment on each sailing, which is burdensome. Moreover, the same problems that exist in responding to interrogatories 20 and 21 above exist with respect to this interrogatory.*

Complainant thereafter responded:

**In a final good faith effort to resolve this dispute, we propose providing the requested breakdown for all attempted bookings and rather than providing**

**reasons, simply note which booking attempts did not result in PKDC cargo being carried.**

Complainant requests the Commission compel a response to Interrogatory 26 limited to providing the requested breakdown for each attempted booking but only requiring a notation of which bookings did not result in cargo movement.

## **B. DOCUMENT REQUESTS**

### **Document Request No. 21 Original Request and Response**

**Complainant's Request 21. Documents sufficient to show the prices charged for transportation by You of cargo pursuant to any Service Contract with any Shipper on each vessel on which PKDC or any other person booked or attempted to book transportation by You of PKDC Cargo, or provided You notice of PKDC's space requirements for any shipment tendered or to be tendered under the SC.**

*Respondent's Response: CMA objects to this request on the grounds that any response requires the provision of the confidential contract rates of other customers to PKDC. CMA further objects on the grounds that this request is overly broad and unduly burdensome. CMA further objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.*

### **Document Request No. 21 Discussions and Final Positions:**

After a meet and confer letter and discussions, Complainant tried to address Respondent's objections as follows:

**CMA has suggested that there may be an issue determining the ships where PKDC requested but was denied space. We would agree to amend this request to seek the information for all ships on the lanes and time period covered by the relevant service contract.**

Respondent replied:

*The potential resolution does not fully reflect or adequately address CMA CGM's objections to this request. As noted above, CMA CGM cannot identify those sailings on which an attempted booking of PKDC cargo was rejected. Even if PKDC were to provide documents enabling CMA CGM to identify all of the relevant sailings, a response to this request would require CMA CGM to produce every service contract, bill of lading and invoice for every container transported on each of those sailings.*

In a final attempt to address these concerns Complainant responded:

**In a final good faith effort to resolve this dispute, we further propose providing the requested breakdown for CMA's capacity for all sailings with attempted bookings and limited to invoices.**

Complainant requests the Commission compel a response to Production Request 21 limited to sailings related to PKDC requests, CMA's own capacity and further limited to invoices.

#### **Document Request No. 22 Original Request and Response**

**Complainant's Request 22. Documents sufficient to show the prices charged for transportation by You of cargo not pursuant to any Service Contract with any Shipper on each vessel on which PKDC or any other person booked or attempted to book transportation by You of PKDC Cargo, or provided You notice of PKDC's space requirements for any shipment tendered or to be tendered under the SC.**

*Respondent's Response: CMA objects on the grounds that this request is overly broad and unduly burdensome. CMA further objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.*

#### **Document Request No. 22 Discussion and Final Positions:**

After a meet and confer letter and discussions, Complainant tried to address Respondent's objections as follows:

**CMA has suggested that there may be an issue determining the ships where PKDC requested but was denied space. We would agree to amend this request to seek the information for all ships on the lanes and time period covered by the relevant service contract.**

Respondent replied:

*The potential resolution does not fully reflect or adequately address CMA CGM's objections to this request. As noted above, CMA CGM cannot identify those sailings on which an attempted booking of PKDC cargo was rejected. Even if PKDC were to provide documents enabling CMA CGM to identify all of the relevant sailings, a response to this request would require CMA CGM to produce every tariff entry, bill of lading and invoice for every container transported on each of those sailings.*

To address these concerns Complainant responded:

**In a final good faith effort to resolve this dispute, we further propose providing the requested breakdown for CMA's capacity for all sailings with attempted bookings and limited to invoices.**

Complainant requests the Commission compel a response to Production Request 22 limited to sailings related to PKDC requests, CMA's own capacity and further limited to invoices.

#### **Document Request No. 44 Original Request and Response**

**Complainant's Request 44. All document concerning CMA internal discussions concerning rejected cargo related to PKDC or any service contract.**

*Respondent's Response: CMA objects to this request to the extent it covers a time period beyond the duration of the SC. CMA further objects on the grounds that this request is vague and ambiguous. CMA further objects to this request on the grounds that it is overly broad and unduly burdensome in that it would require production of every document relating to any rejection of any service contract cargo of any customer anywhere in the world at any time.*

#### **Document Request No. 44 Final Positions:**

After a meet and confer letter and discussions, Complainant tried to address Respondent's objections as follows:

**CMA requests that we further restrict this request as to time. As previously stated, we would agree to limit to the 2019-2020 contract year<sup>1</sup> through the 2022-2023 contract year.**

Respondent responded:

*Taken literally, this request would require CMA CGM to produce every document discussing any rejection of any cargo under any service contract with no temporal or geographic restrictions. Such a request is overly broad and burdensome. CMA CGM requests that this request be limited to the term of the SC, to the trade lanes covered by the SC, and to PKDC itself. CMA CGM is prepared to produce documents responsive to the request as CMA CGM has proposed revising it. CMA requests that PKDC limit this request as CMA CGM has proposed, at least initially. Should PKDC believe, after reviewing responsive documents, that documents relating to any rejection of cargo of other persons is necessary, CMA CGM proposes that the parties consult at that point and agree on some method of sampling that would reduce the scope of this request to make it manageable for both parties.*

To address these concerns Complainant responded:

**CMA's proposal is unacceptable. In a final good faith attempt to resolve, we would agree to limiting this request to the contract year and trade lanes, however, not limited to PKDC. Further this agreement is without prejudice to revisiting after review.**

Complainant requests the Commission compel a response to Production Request 44 limited to the relevant contract year and trade lanes but not limited to Complainant. We note that by seeking a more limited production at this time, we do not waive our rights to seek further discovery on this topic.

### **ARGUMENT**

Complainant's Complaint challenges CMA's conduct including but not limited to taking advantage of exponentially higher shipping costs by refusing to provide space under service contracts in favor of those willing to pay higher rates, refusing to deal with contract holders and/or demanding extracontractual payments to carry cargo under a service contract.

The disputed Requests seek information related to these allegations including probing how CMA's policies and practices may have changed as shipping costs increased. This includes discovery related to trends in the total amount of cargo moved under service contracts versus other cargo and trends in contractual rates versus other rates. Document Request 44 then seeks internal communications discussing the rejection of shipping requests made under service contracts for contract holders. All information sought is highly relevant and necessary to an understanding of why Complainant denied certain space and why and how it allocated space between contract and noncontract cargo as shipping costs rose and directly related to demonstrating the unreasonable patterns and practices alleged in this matter. Further, while Respondent does not believe average rates may be "meaningful," that is not for Respondent to decide. Indeed, Complainant believes that averages will show meaningful trends in rates and, while the averages themselves may not be admissible, they need not be. Rather all that is required is that the information sought is likely to lead to admissible evidence.

Next Interrogatory request 26 is directly relevant in that it seeks information concerning the actual allocations and average shipping charges on vessels related to Complainant's requests for carriage under the relevant contract. While Respondent claims to have difficulty in determining why it denied space to Complainant, Complainant has already addressed this concern by amending to cover all requests without the need for Respondent to determine denials or reasons therefore. CMA has readily admitted that it "is able to identify each attempted booking." **Exhibit F.** As such Respondent should be compelled to provide responses as outlined above.

Complainant reasonably believes that all of the information sought will aid in demonstrating Respondent's unreasonable practices including rejecting lower priced cargo under service contracts in favor of higher priced cargo and unreasonably refusing to deal with contract holders. Further, these requests are not overly broad nor burdensome as Complainant has already agreed to substantially limit the requests as explained above and even if they were burdensome, there is good cause to compel production.

Indeed, in *MSC Industries v. COSCO Shipping Lines Co. Ltd. Et al*, the presiding officer, acknowledged the broad nature of discovery relevant to matters involving unreasonable practices, including allegations of refusing contractual space in favor of higher priced cargo. Specifically, in compelling discovery responses to requests very similar to those at issue here, the presiding officer explained that a violation of Section 41102(c) implicates broad practices and that it may be necessary to understand a carrier's "actions in context beyond specific documented requests for bookings." *MCS Industries, Inc. v. COSCO Shipping Lines Co., LTD, and MSC Mediterranean Shipping Company, SA., Docket No 21-05, Document No. 27 at 7 (MCS Industries)*. Complainant therefore requests that Respondent be compelled to provide responses subject to the limitations outlined above.

## **CONCLUSION**

For the reasons stated above, Complainant respectfully requests that the Presiding Officer compel Respondent to respond to the Discovery Requests with the limitations discussed herein.

### **SANDLER, TRAVIS & ROSENBERG, P.A.**

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**CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the foregoing Motion (in Microsoft word), the exhibits attached thereto, and the accompanying Declaration of Jason M. Kenner, upon Respondent CMA CGM by emailing copies of those documents to its counsel of record listed below:

Wayne Rohde Esq.  
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Dated: May 8, 2025

/s/ Jason M. Kenner  
JASON M. KENNER